3.5.2 Budgets

Unit 3.5 Financial management · 7 key points

- **Budget:** a financial plan for a future period
- **Income budget:** expected revenue
- **Expenditure budget:** expected costs
- **Profit budget:** income budget − expenditure budget
- **Value of budgeting:** planning, control, coordination, motivation, delegation of responsibility
- **Difficulties:** hard to forecast, can be inflexible, may be set unrealistically
- **Zero-based budgeting:** every item must be justified from scratch each year